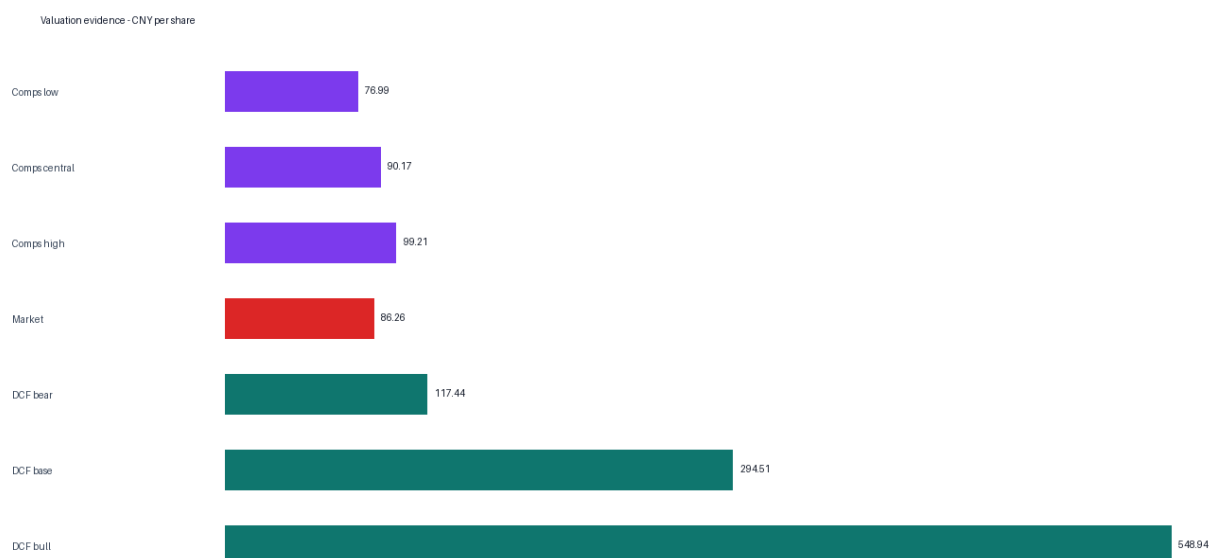


Midea Group

Final Investment Memo R3

Model cutoff 20 Aug 2026 | Valuation date 11 Sep 2026



Market	DCF bear	DCF base	DCF bull
CNY 86.26	117.44	294.51	548.94

Investment view

DCF_INDICATES_UPSIDE_BUT_LOW_CONFIDENCE. DCF is the primary method and indicates substantial upside, but the 88.8% terminal-value contribution and a period-aligned comps range of CNY 76.99–99.21 constrain confidence to **LOW_TO_MEDIUM**. Risk is **HIGH**.

Valuation mechanics

WACC is 5.2666%, based on the latest appropriate pre-valuation Damodaran dataset, a reproducible monthly beta, a ChinaBond marginal debt-cost proxy and market-value weights. Base DCF is CNY 294.51. No method average is used.

Comparable-company basis

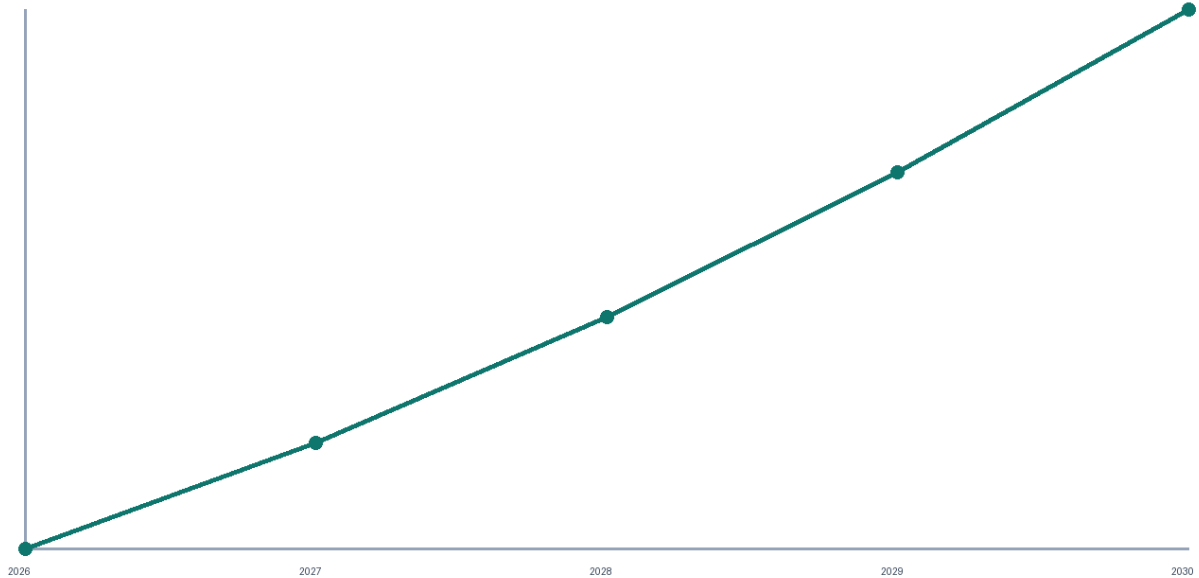
Peer TTM multiples are applied to Midea LTM 2026Q1 revenue, EBIT and attributable earnings; P/B uses 2026Q1 parent equity. EV/EBITDA is excluded from implied values because compatible Midea LTM D&A; is unavailable. Selected basis mismatches: zero.

Cash classification

Balance-sheet cash equals cash-flow cash equivalents plus restricted cash, term deposits and an other taxonomy residual. The bridge adds excess cash and source-proven current treasury products, deducts debt, NCI and the trading financial liability, and leaves receivables financing inside operating NWC.

Forecast and evidence

Midea revenue - base forecast



Thesis

The primary DCF indicates upside if the independently reverified economic-NWC FCFF develops as forecast. The market and period-aligned comps imply a materially lower cash-flow path, so execution and terminal assumptions dominate the risk/reward.

Catalysts

- Sustained smart-home mix improvement
- Building-technology growth
- Industrial-technology recovery
- FCFF conversion
- Disciplined capital returns

Risks

- Terminal-value concentration
- China appliance cycle
- Margin and working-capital execution
- Commodity and FX volatility
- International competition
- Capital-allocation and M&A; risk

Certification

Financial-model, internal, independent-role and cleanroom statuses are distinct. The final release can pass the first three in the builder environment; true external verification remains PENDING_EXTERNAL_REVIEW until an external party verifies the final bytes.